



AMERICAN
UNIVERSITY^{OF} BEIRUT

SULIMAN S. OLAYAN SCHOOL
OF BUSINESS





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FUNDAMENTALS OF MANAGEMENT AND ORGANIZATIONAL BEHAVIOR

Week 4 – Strategy

MNT 215 – Summer 2026

Suliman S. Olayan School of Business | American University of Beirut





WHAT IS STRATEGIC MANAGEMENT?

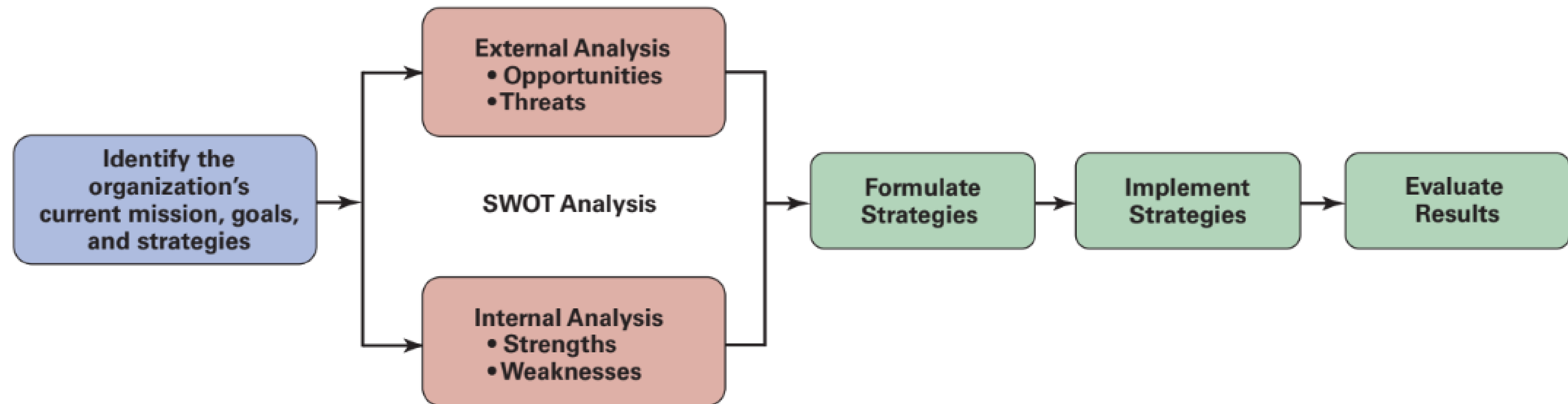
Strategic management: what managers do to develop the organization's strategies

Strategies: the plans for how the organization will do what it's in business to do, how it will compete successfully, and how it will attract and satisfy its customers in order to achieve its goals

Business model: how a company is going to make money



STRATEGIC MANAGEMENT PROCESS





STEP 1: IDENTIFYING THE ORGANIZATION'S CURRENT MISSION, GOALS, AND STRATEGIES

Mission: the purpose of an organization

Mission statements help focus the strategic direction of the company



COMPONENTS OF A MISSION STATEMENT

Customers:

Who are the firm's customers?

Markets:

Where does the firm compete geographically?

Concern for survival, growth, and profitability:

Is the firm committed to growth and financial stability?

Philosophy:

What are the firm's basic beliefs, values, and ethical priorities?

Concern for public image:

How responsive is the firm to societal and environmental concerns?

Products or services:

What are the firm's major products or services?

Technology:

Is the firm technologically current?

Self-concept:

What are the firm's major competitive advantage and core competencies?

Concern for employees:

Are employees a valuable asset of the firm?



STEP 2: SWOT ANALYSIS

SWOT analysis: an analysis of the organization's strengths, weaknesses, opportunities, and threats

- **Strengths:** any activities the organization does well or its unique resources
- **Weaknesses:** activities the organization does not do well or resources it needs but does not possess
- **Opportunities:** positive trends in the external environment
- **Threats:** negative trends in the external environment



DOING AN INTERNAL ANALYSIS

Resources: an organization's assets that are used to develop, manufacture, and deliver products to its customers

Capabilities: an organization's skills and abilities in doing the work activities needed in its business

Core competencies: the organization's major value-creating capabilities that determine its competitive weapons



STEP 3: FORMULATING STRATEGIES

Three main types of strategies managers will formulate

- Corporate
- Competitive
- Functional



STEP 4: IMPLEMENTING STRATEGIES

No matter how effectively an organization has planned its strategies, performance will suffer if the strategies aren't implemented properly.



STEP 5: EVALUATING RESULTS

- How effective have strategies been at helping the organization achieve its goals?
- What adjustments are necessary?

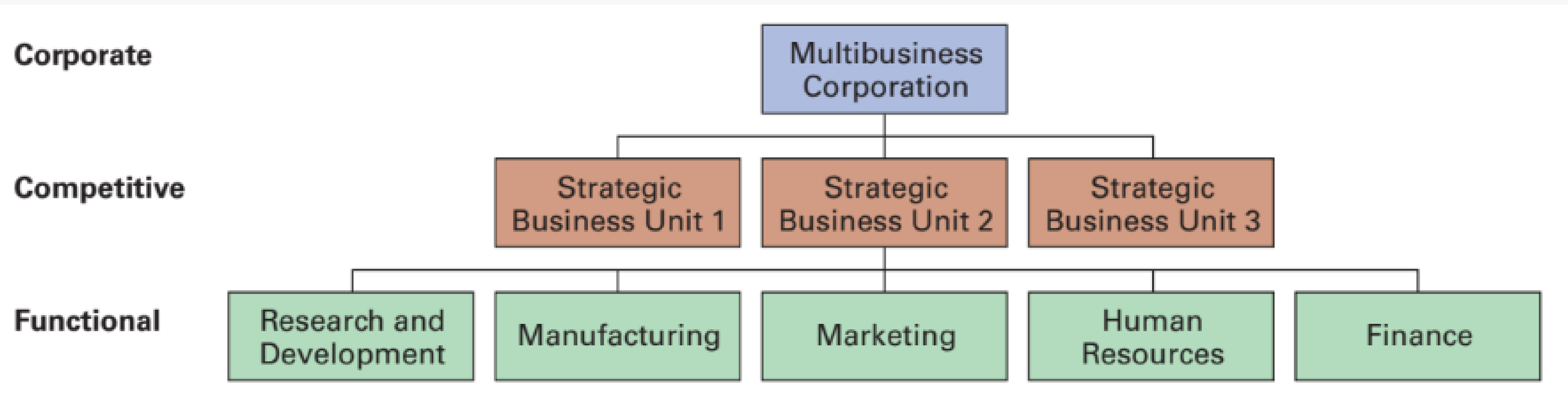


WHAT IS CORPORATE STRATEGY?

Corporate strategy: an organizational strategy that determines what businesses a company is in or wants to be in, and what it wants to do with those businesses



TYPES OF ORGANIZATIONAL STRATEGIES





WHAT ARE THE TYPES OF CORPORATE STRATEGY?

Growth strategy: a corporate strategy that's used when an organization wants to expand the number of markets served or products offered, either through its current business(es) or through new business(es)

- Concentration
- Vertical integration
- Horizontal integration
- Diversification (related or unrelated)



STABILITY AND RENEWAL STRATEGIES

Stability strategy: a corporate strategy in which an organization continues to do what it is currently doing

Renewal strategy: a corporate strategy designed to address declining performance

- Retrenchment
- Turnaround



HOW ARE CORPORATE STRATEGIES MANAGED?

BCG matrix: a strategy tool that guides resource allocation decisions on the basis of market share and growth rate of SBUs

- Stars
- Cash cows
- Question marks
- Dogs



COMPETITIVE STRATEGIES

Competitive strategy: an organizational strategy for how an organization will compete in its business(es)

Strategic business unit (SBU): the single independent businesses of an organization that formulate their own competitive strategies



THE ROLE OF COMPETITIVE ADVANTAGE

Competitive advantage: What sets an organization apart; its distinctive edge

Competitive advantage can stem from:

- Quality
- Low cost
- Technology
- Other factors



SUSTAINING A COMPETITIVE ADVANTAGE

Businesses must not only develop a competitive advantage, but they must also sustain it.

- **Economic moat:** sustaining competitive advantage by protecting long-term profits and market share using various means.
- Economic moat was a term popularized by Warren Buffett as a way to visualize the concept of keeping a competitive advantage.

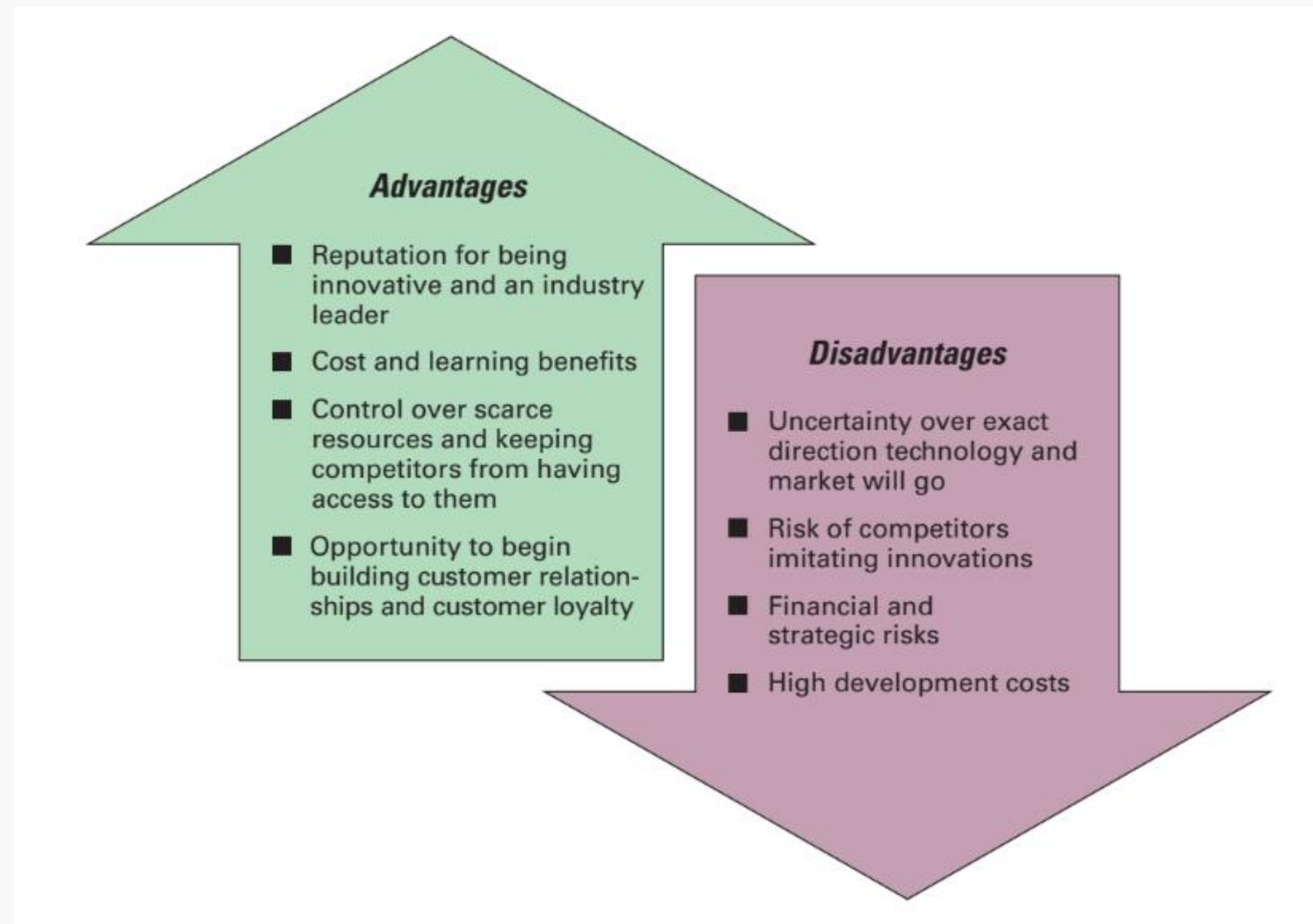


CHOOSING A COMPETITIVE ADVANTAGE

- Cost leadership strategy
- Differentiation strategy
- Focus strategy
- Stuck in the middle



FIRST MOVER ADVANTAGES AND DISADVANTAGES



THANK YOU



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